

--SUMMARY--

Decision No. 3343/16

25-Jul-2018

J.Josefo

- In the course of employment (contemporaneity)
- Right to sue

The plaintiff in a civil case was a domestic worker. She was injured when she slipped and fell on a sidewalk in February 2011, while walking her employer's dog. The plaintiff brought an action against the city and against the contractor of the city that was responsible for clearing snow. The contractor applied to determine whether the plaintiff's right of action was taken away. The Vice-Chair noted that the city, a Schedule 2 employer, was not a party to the application.

The plaintiff was a worker in the course of employment at the time of the accident.

The contractor was a Schedule 1 employer. Section 28(3) of the WSIA provides that, if workers of an employer were involved in the circumstances in which the worker sustained an injury, s. 28(1) applies to take away the right of action if the workers were acting in the course of employment. The contractor had workers who were in the course of employment at the time they were clearing the snow or should have been clearing the snow. The Vice-Chair agreed with Decision No. 2273/03 that the wording of s. 28(3) is broad enough to include nonfeasance as well as misfeasance.

The Vice-Chair rejected the plaintiff's submission that the contractor was somehow subsumed with the city (a Schedule 2 employer) so that the plaintiff (a worker of a Schedule 1 employer) would be able to sue the contractor (as well as the city). The Vice-Chair found that the city chose to rely on contractors to meet some of its snow clearing obligations.

The plaintiff's right of action against the contractor was taken away.

13 Pages

References: Act Citation

- WSIA 28(3)

Other Case Reference

- [w4118s]
- TRIBUNAL DECISIONS CONSIDERED: Decision No. 2273/03 (2004), 71 W.S.I.A.T.R. 115 apld; Decision No. 755/15 apld

Style of Cause: Talaugon v. Lima's Gardens & Construction Inc.
Neutral Citation: 2018 ONWSIAT 2448



WORKPLACE SAFETY AND INSURANCE APPEALS TRIBUNAL

DECISION NO. 3343/16

BEFORE:

J. Josefo: Vice-Chair

HEARING:

December 20, 2016 & February 22, 2018, at Toronto
Oral

DATE OF DECISION:

July 25, 2018

NEUTRAL CITATION:

2018 ONWSIAT 2448

APPLICATION FOR ORDER UNDER SECTION 31 OF THE *WORKPLACE SAFETY AND INSURANCE ACT, 1997*

APPEARANCES:

For the applicant, Lima's Gardens & Construction Inc.:

D. Bierstone, Barrister & Solicitor

For the respondent, Ms. Talaugon:

A. Preyra, Barrister & Solicitor

For the interested party, the City of Toronto:

M. Calich, Barrister & Solicitor

For the interested party, the employer of Ms. Talaugon:

Ms. Field (appearing in person)

Interpreter:

Not Applicable

**Workplace Safety and Insurance
Appeals Tribunal**

505 University Avenue 7th Floor
Toronto ON M5G 2P2

**Tribunal d'appel de la sécurité professionnelle
et de l'assurance contre les accidents du travail**

505, avenue University, 7^e étage
Toronto ON M5G 2P2

REASONS

(i) The right to sue application – parties/issues/background facts

[1] This application is brought under section 31 of the *Workplace Safety and Insurance Act* (the “WSIA”) by Lima’s Gardens & Construction Inc. (“Lima”), a defendant in a civil action filed in Toronto, in the Ontario Superior Court of Justice under Court File No. CV-14-498523. The other defendant in that civil action, the City of Toronto, is an interested party in this within application. The plaintiff in that civil action, the respondent in this application, is Ms. Talaugon. The employer of Ms. Talaugon, Ms. Field, appeared, and testified in support of Ms. Talaugon.

[2] This hearing initially commenced before me on December 20, 2016. Following that hearing day I prepared a post-hearing memo which describes the application, including the facts which underpin it, as well as identifies the parties and their respective counsel. To situate this matter in context, I excerpt relevant portions of that post-hearing memo, as follows:

The Right to Sue Application: Background Facts & Parties:

This Right to Sue Application commenced before me on December 20, 2016. It arises out of a February 8, 2011 “slip and fall” accident. On that day, [Ms.] Talaugon, the Respondent, employed *inter alia* as a domestic worker, slipped and fell whilst walking the dog of her long-time employer, Ms. Field. Unfortunately Ms. Talaugon broke her left wrist in that accident.

Arising out of that accident, Ms. Talaugon initially made a WSIB claim, assisted in that regard by her employer, a Schedule 1 employer registered with the WSIB. A Form 7 Report of Accident was completed on February 13, 2011.

Yet Ms. Talaugon subsequently began a lawsuit. Initially the claim was in Small Claims Court. Pursuant to the September 19, 2015 Order of the Honourable Mr. Justice Moore, the action was transferred to the Superior Court of Justice. The defendants to the lawsuit were the City of Toronto (“City”) and Lima’s Garden & Construction Inc. (“Lima”). The claim alleges, *inter alia* at paragraph 3, that Lima’s was “at all material times contracted by the Defendant City of Toronto to provide winter maintenance services to the ‘sidewalk’ [earlier defined in paragraph 2 of the claim as the sidewalk where Ms. Talaugon slipped and fell, in front of... [the specific street address, name omitted], on February 8, 2011]”.

Lima denied, at paragraph 4 of its Statement of Defence and Crossclaim, that “it was a contractor responsible for maintenance of the location where the Plaintiff allegedly fell or that it had any duty whatsoever of maintaining the location where the plaintiff allegedly fell”.

Status checks confirm that both Ms. Field and Lima are Schedule 1 employers.

On August 12, 2015 Lima brought the within application to the Tribunal, seeking an order removing Ms. Talaugon’s right to sue Lima, and that the City’s right to claim contribution or indemnity against Lima is also taken away by the Act. Lima is represented in this within proceeding by Mr. D. Bierstone, barrister & solicitor.

Mr. A. Preyra, barrister & solicitor, submitted the Section 31 statement for the Respondent Ms. Talaugon, opposing the application.

The employer of Ms. Talaugon, Ms. Field, as an interested party to this proceeding attended in person.

Mr. M. Calich, barrister & solicitor, acts for the City. He submitted a letter dated November 11, 2016 (addendum # 2) setting out the position of the city: taking no position

as between Lima's and Ms. Talaugon, yet seeking, if the application is granted, a Declaration in the terms set out in S. 29 (3) & (4) of the WSIA. That would, if granted, defer to the Court the determination of any loss or damage caused by Lima, and further provides that the City would not be responsible to the Respondent for what the Court determines to be the damages, etc., caused by Lima. The City, as a Schedule 2 employer, does not seek to remove the right of the respondent to sue it.

Process at the Hearing on December 20, 2016:

The above-identified parties and counsel all attended the hearing. After extensive opening statements, a discussion of the issues, and two rulings made during proceedings (described below) Ms. Field testified, as did Ms. Talaugon. Both witnesses were examined, cross-questioned, asked questions of clarification by me, and were asked reply questions.

Issues:

The issues for this application were and remain whether:

- Ms. Talaugon was in the course of her employment when, while walking the dog of her employer she slipped and fell. It was acknowledged by Mr. Preyra near the end of the hearing day that Ms. Talaugon was a worker of a Schedule 1 employer.
- Lima was acting in the course of its employment, given the testimonial evidence relied on by Mr. Preyra that the snow was not cleared at all from the sidewalk in the winter of 2011, and given paragraph four of the Statement of Defence referenced above.
- Lima was truly a contractor for the City, or whether Lima and those it hired were actually employees of the City (this raised by the Respondent despite the pleading at paragraph three of the Statement of Claim).

In the course of the hearing I made two interim rulings (the parties can, if desired, seek to have these transcribed from the hearing recording):

- The first was not to strike the statement of Ms. Field and Ms. Talaugon given to the insurance adjuster for Lima, which statement was transcribed and submitted by the Applicant with its Section 31 application.
- The second was to *inter alia* allow the Applicant to subsequently submit additional documents which it asserts will demonstrate that Lima was obliged contractually with the City to clear the snow from the sidewalk, and that, acting in the course of its employment, even if it albeit negligently (such is not admitted but only used as an example) did so during the winter of 2011. Yet I did not take those documents today. Rather, I allowed the parties the option to have these entered via testimonial evidence at a future reconvene, or to produce these in advance of such reconvene via affidavit evidence from someone other than counsel (to allow counsel for the respondent to examine the affiant in a proceeding similar to an AB examination or examination for discovery, with that transcript and those documents subsequently tendered as evidence by either party for use at the reconvene). I further ruled that, once such documents were tendered by applicant, the respondent could also adduce further documentary or testimonial evidence in response, if such was desired.
- I confirm at this juncture that, for any new material filed, such should be filed in a timely fashion, in compliance with the applicable Practice Direction. That way, all parties will fully know the case that each has to meet well in advance of any reconvene.

Process going forward:

There was also a discussion of process and ultimate possible outcomes arising out of both this application and the civil action, with the parties perhaps wanting to, amongst other possibilities, amend their respective pleadings or have examinations for discovery, either of which may clarify the evidence and narrow issues relevant to this within application.

Once the parties sort out what they may or may not want to do with the civil action, and also how they wish to proceed in this application, additional hearing days may be required. In the New Year the Tribunal Counsel assigned this case will reach out to all parties to determine if counsel have come to any agreement on process: whether we need a day for additional testimonial evidence and then a day for closing submissions; or if the additional evidence can be tendered in written form (including transcripts of examinations, of whatever sort), with then only a day required for closing submissions; or if all subsequent matters can be accomplished in writing.

Tribunal Counsel will attempt to assist the parties to find common ground in that regard. Given the somewhat adversarial nature of this proceeding so far, if I need to determine the ongoing process absent agreement, Tribunal Counsel will bring the matter to my attention for that purpose. Counsel can then make submissions to me in that regard, addressing what process each would prefer.

Clearly I am seized with the matter. If questions arise, please contact me.

[3] As a practice point, as can be seen from the herein identification of the parties, the Tribunal only uses last names of individuals when a civil action has been commenced. To further protect privacy, I have omitted the street address where the slip and fall accident occurred.

[4] The hearing reconvened on February 22, 2018 for closing arguments. The lengthy interval between the hearing days allowed the parties to take various steps relevant in the civil action, as well as possibly relevant to the within application, such as the examination of witnesses. New material arising from the original through to the reconvened hearing date was tendered to the Tribunal and is part of the evidence which I have considered.

[5] A final note on process is that this case was thoroughly argued by competent counsel. The matter initially appeared complex, especially with respect to the creative legal arguments raised by counsel for the respondent. I have given serious consideration to all the arguments and submissions made, so I apologize to counsel and to the parties for my delay in ultimately coming to my conclusions and in writing these reasons.

(ii) My approach to these reasons

[6] In these reasons I will not set out in detail all of the testimony of the witnesses, either the testimony which I have heard or the testimony contained in the transcripts filed. Nor will I re-state to counsel what they so well stated to me in their oral and written submissions. To do this would unduly elongate these reasons, without any benefit to the parties. Rather, I follow the approach described in Tribunal *Decision No. 437/00R*, which states as follows:

[25] Yet, the standard for determining whether a decision is reasonable does not require that each and every piece of evidence be minutely sifted and commented on with conclusions then being stated for each item of evidence presented for the adjudicator. If that were the standard, even straightforward cases would require pages upon pages of decision writing. Complex cases such as this one would consume whole forests in an effort to provide such detailed written reasons.

[26] Rather, the requirement for good reasons is that a decision:

- decide only what needs to be decided,
- discusses what must be discussed,
- considers the evidence so that it is obvious that the decision-maker arrived at a transparent, fair and reasoned conclusion.

- [27] Reasons must provide an analysis of the evidence so that the parties, and any superior reviewing body, can understand why and how the decision was made, and that it is clear that the decision was made upon consideration of relevant evidence, with an open mind, and not upon extraneous or irrelevant considerations.
- [28] In discussing the evidence, in my view it is not necessary to refer to all of the evidence in a decision. Rather, the evidentiary basis for the decision must be clear. Reasons must also address the relevant law being applied, and how that law applies to the facts before the decision-maker, to demonstrate how the decision-maker came to a reasoned conclusion.

(iii) Law and policy

- [7] Section 31 of the WSIA provides that a party to an action or an insurer from whom statutory accident benefits (“SAB”s) are claimed under section 268 of the *Insurance Act* may apply to the Tribunal to determine whether: a right of action is taken away by the Act; whether a plaintiff is entitled to claim benefits under the insurance plan; or whether the amount a party to an action is liable to pay is limited by the Act.

- [8] Sections 26 through 29 of the WSIA provide the following:

26(1) No action lies to obtain benefits under the insurance plan, but all claims for benefits shall be heard and determined by the Board.

(2) Entitlement to benefits under the insurance plan is in lieu of all rights of action (statutory or otherwise) that a worker, a worker’s survivor or a worker’s spouse, child or dependant has or may have against the worker’s employer or an executive officer of the employer for or by reason of an accident happening to the worker or an occupational disease contracted by the worker while in the employment of the employer.

27(1) Sections 28 to 31 apply with respect to a worker who sustains an injury or a disease that entitles him or her to benefits under the insurance plan and to the survivors of a deceased worker who are entitled to benefits under the plan.

(2) If a worker’s right of action is taken away under section 28 or 29, the worker’s spouse, child, dependant or survivors are, also, not entitled to commence an action under section 61 of the Family Law Act.

28(1) A worker employed by a Schedule 1 employer, the worker’s survivors and a Schedule 1 employer are not entitled to commence an action against the following persons in respect of the worker’s injury or disease:

1. Any Schedule 1 employer.
2. A director, executive officer or worker employed by any Schedule 1 employer.

(2) A worker employed by a Schedule 2 employer and the worker’s survivors are not entitled to commence an action against the following persons in respect of the worker’s injury or disease:

1. The worker’s Schedule 2 employer.
2. A director, executive officer or worker employed by the worker’s Schedule 2 employer.

(3) If the workers of one or more employers were involved in the circumstances in which the worker sustained the injury, subsection (1) applies only if the workers were acting in the course of their employment.

(4) Subsections (1) and (2) do not apply if any employer other than the worker's employer supplied a motor vehicle, machinery or equipment on a purchase or rental basis without also supplying workers to operate the motor vehicle, machinery or equipment.

29(1) This section applies in the following circumstances:

1. In an action by or on behalf of a worker employed by a Schedule 1 employer or a survivor of such a worker, any Schedule 1 employer or a director, executive officer or another worker employed by a Schedule 1 employer is determined to be at fault or negligent in respect of the accident or the disease that gives rise to the worker's entitlement to benefits under the insurance plan.

2. In an action by or on behalf of a worker employed by a Schedule 2 employer or a survivor of such a worker, the worker's Schedule 2 employer or a director, executive officer or another worker employed by the employer is determined to be at fault or negligent in respect of the accident or the disease that gives rise to the worker's entitlement to benefits under the insurance plan.

(2) The employer, director, executive officer or other worker is not liable to pay damages to the worker or his or her survivors or to contribute to or indemnify another person who is liable to pay such damages.

(3) The court shall determine what portion of the loss or damage was caused by the fault or negligence of the employer, director, executive officer or other worker and shall do so whether or not he, she or it is a party to the action.

(4) No damages, contribution or indemnity for the amount determined under subsection (3) to be caused by a person described in that subsection is recoverable in an action.

[9] In *Decision No. 1460/02*, the Panel noted that the Tribunal is not required to apply Board policy in right to sue applications, as section 126 of the Act refers to appeals, not applications. The Panel, however, also noted that it is important to maintain consistency with findings that might have been made had the case come to the Tribunal by way of appeal from a decision regarding entitlement. Therefore, Board policy continues to be relevant in right to sue applications. See *Decision No. 755/02*.

[10] It has long been established that the onus to remove the right to sue lies with an applicant. An applicant is obliged to establish, on the balance of probabilities, that the right to sue should be removed. Tribunal *Decision No. 953/11* and other similar cases have discussed what is called the "Historic Bargain", which provides Ontario workers with WSIB benefits in exchange for having given up the right to sue. That Historic Bargain, which prohibits workers from suing in circumstances provided for in the Act, has existed for over 100 years. Yet the common law right to sue has been in existence for a far longer time. Indeed, the common law right to sue has existed ever since the Magna Carta. It must be remembered that it is not, after all, a "privilege" to sue. Rather, it is a "right", and indeed, a long-standing right.

[11] The prohibition against suit brought by workers against their employers as provided for in the WSIA is thus an exception to the ancient common law right to sue. This statutory exception must accordingly be construed narrowly, in accordance with the well-established legal principles as these would apply to the facts of a particular case. I approach my analysis of this case on this basis.

(iv) Discussion of and findings from the evidence

[12] I address each of the three issues as set out in my post-hearing memo, above. Given the nature of some of the issues, there is some overlap.

(a) The status of Ms. Talaugon

[13] It is clear from the evidence of both Ms. Field and Ms. Talaugon that Ms. Talaugon was, described formally, a domestic worker. More prosaically, she was at the relevant time a housekeeper for Ms. Field and her family. Ms. Field testified that Ms. Talaugon was employed to be a nanny, and a personal assistant. She explained that her duties included taking care of the family's dogs. Encompassed within taking care of the dogs was walking them. That is what Ms. Talaugon was doing on February 8, 2011 when she unfortunately slipped, fell, and fractured her left wrist.

[14] Ms. Field acknowledged in her testimony that Ms. Talaugon would take the dog (whose name apparently was Jake) out for a walk at least a few times each week.

[15] Ms. Talaugon, when she testified, confirmed that she also would often, even if not daily, walk the dog. She described it as "team work", with either her or Ms. Field walking the dog.

[16] The evidence is also clear that Ms. Field employed Ms. Talaugon, including having registered with the WSIB as an employer. Following the accident, Ms. Field completed a Form 7, "Report of Accident" Form with the WSIB. Pursuant to the status check, it is clear that Ms. Field was properly, at the relevant time, a Schedule 1 employer.

[17] At one point the respondent seemed to acknowledge that Ms. Talaugon was a worker of a Schedule 1 employer. Yet, on February 22, 2018, when Mr. Preyra made his final submissions, he disputed that Ms. Talaugon had to walk the dog as part of her work duties. I reject that submission. It is simply contrary to the evidence. The evidence, in my view, is quite clear: Ms. Talaugon, a domestic worker of a Schedule 1 employer, was injured when carrying out one of her usual duties of walking the family dog.

[18] I find the evidence compelling that on February 8, 2011 Ms. Talaugon was in the course of her employment on the occasion of her unfortunate slip and fall. The argument for the respondent, that Ms. Talaugon could not be in the course of her employment while using a road open to the general public, is incorrect on the evidence, and is also too absolute to be accurate. In that regard, Mr. Preyra seemingly relies upon and makes reference to Board *Operational Policy Manual* ("OPM") Document No. 15-03-04. Yet that policy provides that "workers are not in the course of employment when they leave the employer's premises, unless for the purpose of work" [*emphasis added*].

[19] In my view, the evidence is clear that Ms. Talaugon was indeed working when she left the house and was walking the dog, as this was one of her usual and typical assignments. While in the course of her employment duties, she unfortunately suffered an injury. She was a worker, in the course of her employment, when she was injured.

(b) The status of Lima

[20] Counsel for the respondent has made a number of arguments when addressing the status of Lima. It is acknowledged that the City contracted with Lima to perform sidewalk clearing. Yet it is argued as a result, as follows, from paragraph 31 of its legal brief dated February 20, 2018:

The evidence is clear that the City contracted the applicant to carry on its own statutorily required winter maintenance. The work to be performed, the manner in which it was performed, the timing as to when it was to be performed, payment and penalties for non-performance, the duration of the term under the contract, the obligation to supervise and discipline the applicant's staff and make payment only on satisfaction of the work

completed, points to a clear finding that the applicant was an employee of the City, rather than an independent contractor [emphasis added].

[21] In oral submissions made on February 22, 2018, Mr. Preyra expanded his argument, asserting that pursuant to the contract between Lima and the City, Lima's workers were in fact workers of the City, and that Lima was "fully integrated" into the work of the City of Toronto. It was also suggested that Lima was "captured" by the City, and therefore subsumed in some fashion within the City.

[22] Yet, Lima is itself not a worker. It is an incorporated entity, a business being carried on. The business was being conducted, the work was being performed, by Lima's workers. Lima's employees (its "workers") were hired by Lima, so that Lima could meet its obligations to clear snow in the quadrant or area of the city which it contractually agreed to clear, in exchange for compensation. Lima's employees were thus hired for, *inter alia*, this particular work. Lima acts through its employees—as does any such incorporated employer. Thus, the submission of the respondent, that Lima was itself an employee of the city, somehow integrated or subsumed into the city, is without reliable evidentiary foundation. Also in law, this argument cannot succeed. I expand on this analysis ahead in these reasons. Yet first I turn to the respondent's argument that Lima's workers were not in the course of employment at the relevant time.

[23] The "course of employment" issue is addressed pursuant to section 28 of the WSIA. Section 28(3) provides that the prohibition against suit found in section 28(1) "applies only if the workers were acting in the course of their employment".

[24] The persuasive evidence is that Lima was indeed obliged, pursuant to its contractual obligations with the City, to clean the sidewalk in the area in question. That Lima may have been negligent in the carrying out of its duties, leading to the slip and fall accident of Ms. Talaugon, is not what I am to decide in this application. Indeed, I agree with counsel for the applicant that, for purposes of the within application, pursuant to Tribunal *Decision No. 1683/01*, I can assume that the allegations of negligence asserted by the plaintiff are provable. Tribunal *Decision No. 1683/01* stated in that regard as follows:

[34] I am of the view that it is necessary, in applications of this nature, to assume that the facts as alleged by the plaintiff can be proven in any subsequent trial. One of the objectives of the section 17 process is to provide employers with immunity from liability for damages in those situations where the employer can properly claim the protection of the Act. A further objective of the provision is to insulate employers in such cases from the burden of participating in court proceedings, where their potential liability to the plaintiff arises *only* because of the actions of their employees, as contemplated by section 10(9) of the Act. This latter objective serves not just employers; it removes unnecessary litigation from an already overburdened judicial system, and it protects plaintiffs from incurring unnecessary costs (both their own, and the costs to which they may be exposed as unsuccessful litigants). Consequently, at this stage, the Tribunal is concerned not with the Plaintiff's (or Defendant's) ability to prove their cases at trial, but with the extent to which the claims of negligence (or other causes of action), if proven, are based upon the acts or omissions of employees of the Defendants[emphasis added].

[25] It is, however, for me to decide whether that presumed negligence is based upon the acts or omissions of employees of Lima when acting in the course of their respective employment. In this case, the claim of Ms. Talaugon is that Lima was contracted by the City in order to clean the sidewalk, and that it was negligent in so doing. The evidence adduced, including the testimony of the witnesses, and that of Mr. Lima when he was examined, seems to support that conclusion. Accordingly, such negligence was in my view seemingly clearly within the course of

employment of the employees of Lima, leading to the conclusion that section 28(1) applies. Is that conclusion somehow rebutted by section 28(3)?

[26]

The Tribunal has addressed section 28(3) of the Act on prior occasions. In order to come to the conclusion that a worker was not acting in the course of employment, what typically must be established is a “malign act for purposes entirely unrelated to the workplace activity”, one which breaks the employment nexus. Tribunal *Decision No. 755/15* reviews section 28(3) and summarizes a number of decisions which have considered this section of the Act, as follows:

[53] What is flagged above demonstrates the high standard required to deem an activity or action unrelated to work. It is not enough for there to be the “unexpected results of apparently benign activities.” Rather, there must be much more: “a malign act for purposes entirely unrelated to the workplace.” In this case I do not find deliberate or malign acts intended to cause harm or activities (the training at issue) “entirely removed” from the usual workplace activities of Mr. Jerry and his peers. Rather, as I have discussed above and continue below, I find that there were legitimate work purposes for the training exercise, whether the rank and file (at least those who testified) agreed or not. I also find that in this case what happened was far closer to being an unfortunate and, given the testimony of JS that there had never before been an accident occurring during the compass training, seemingly unexpected result from apparently benign and legitimately intended work activities.

[54] Tribunal *Decision No. 353/07* is another decision which addressed whether activities occurred in the course of employment at the relevant time. After reviewing various Tribunal decisions, Tribunal *Decision No. 353/07* offered the following succinct conclusion:

[38] I find the approach proposed by the Vice-Chair in *Decision No. 804/89*, as well as the test set out in *Decision No. 949/04* to be instructive. In my view, there will be occasions when the actions of co-workers will be so egregious that it will be “activity which is so obviously outside the employment sphere that it cannot be said to come within the course of employment.” I agree also that the proper approach is to examine whether the activity in question is so harmful that by its very nature it can be said to break the employment connection. I am also of the view that a relevant consideration will be whether the harm inflicted was done so negligently or recklessly, rather than intentionally [emphasis added].

[55] Applying the above, the Vice-Chair who decided Tribunal *Decision No. 353/07* came to the following conclusion when considering the “inordinate amount of hazardous work without protective equipment... and lewd verbal harassment” to which the respondent had been subjected:

[39] Applying these principles to the case now at issue, I find that the harm which the individual Applicants are said to have caused the Respondent relates to matters which the Applicants perpetrated while “acting in the course of their employment.” Without minimizing the harmful effects which an unfair performance evaluation, improper criticism, derogatory remarks including sexual innuendo, and improper transfer to distant locale, may have had on the Respondent, it is not conduct which, in my view, is so egregious that “by its very nature” it breaks the employment connection... Further, while making the Respondent handle hot oil and clean the grill without proper protective equipment was no doubt dangerous, I am not persuaded on the facts of this case that the Applicant Abboud intended to harm the Respondent, as opposed to being negligent and reckless as to whether harm ensued [emphasis added]. In my view, the employment nexus was not breached in the circumstances of this case. I find that the harm alleged by the Respondent in his Statement of Claim

relates to matters which the individual Applicants committed while acting “in the course of their employment” for the purposes of subsection 28(1). Accordingly, the Respondent’s right to bring a civil action against the individual Applicants for the harm alleged in his Statement of Claim is barred by the WSIA.

- [56] There is much difference between the nature of the facts and circumstances described in Tribunal *Decision No. 353/07* and in earlier referenced Tribunal *Decision No. 494/04*, as well as in the cases cited within that earlier decision. In *Decision No. 353/07*, there is negligence and carelessness for the safety of the individual involved. After all, in Tribunal *Decision No. 353/07* the individual was subjected to, *inter alia*, work on what was described as “an inordinate amount of hazardous work without protective equipment.” Yet nevertheless, all this was found to be within the course of employment, as it was found to be not conduct so egregious that, by its very nature, would break the employment connection.
- [57] A distinction appears to be a lack of deliberate, assaultive conduct in *Decision No. 353/07*, which clearly existed in Tribunal *Decision No. 494/04*. In that earlier case, there was a strong element of willfulness, a deliberate attack and hazing ritual which the individuals knew or ought to have known would likely cause psychological and/or physical harm.
- [58] In my view, taking the case of the applicants at its highest, it was clearly not the goal of the employer or of Superintendent Bruce to cause physical or mental harm through the performance of the training exercise. The training exercise may have been a way to encourage members to consider their employment options, which if so, again, I view as not illegitimate. The exercise likely was also intended to be an element of team building amongst all members who participated in the mandatory training exercise, even if such was poorly communicated and not well executed by department management [*emphasis added*].

[27] I adopt and apply the above analysis to the present matter. In my view, it is impossible to conclude that the negligence, or even the “nonfeasance” of Lima’s workers as alleged by counsel for the respondent, comes close to what is required to remove Lima’s workers from the course of their respective employment. There was no deliberate intent to cause harm, no deliberate assaultive conduct, there is no evidence of an element of willfulness, and no malign act. All there is, in fact, are allegations (and some evidence) of carelessness, negligence, and even of nonfeasance.

[28] Accepting (without deciding) that the employees of Lima were guilty of nonfeasance, because they purportedly never attended the sidewalk to clear the snow as they were obliged to do, I find that it ultimately does not matter. I agree with Mr. Bierstone that “an employer which fails to do something which it was supposed to do is clearly ‘at fault or negligent’”. I also agree with Mr. Bierstone that the argument that the bar to suit does not apply to nonfeasance is unfounded in law.

[29] In that regard, Mr. Bierstone relies upon a decision of the Supreme Court of Canada, *Kamloops (City) v. Nielsen*, [1984] 2SCR2. That decision stands for the proposition that the distinction between misfeasance or negligence, and nonfeasance, is irrelevant in the face of a duty to act. In this case, Lima had a duty to act. Pursuant to the argument advanced by counsel for the respondent, when Lima did not clear the snow as it was obliged to do, it failed to act and so breached its duty. If the resulting breach of Lima led to the injury caused to Ms. Talaugon, which again, is the theory of the respondent’s counsel, at least in the civil litigation, then Lima

would be liable. Yet, because of the bar to suit set out in section 28 of the Act, in this case the right to sue would be removed. It is removed because the breach occurred when Lima's workers were clearly within the scope of their employment.

[30] The Tribunal previously addressed the lack of distinction between misfeasance and non-feasance. See, in that regard, Tribunal *Decision No. 2273/03*, which states as follows:

[25] Mr. Hanrahan submitted, on behalf of the respondent, that the allegations of negligence set out in the Statement of Claim suggest acts of non-feasance rather than acts of misfeasance. Hence, in his submission, they were not actions in the course of employment since failure to do something is not an act.

[26] However, looking at the wording of subsection 28(3), I am not persuaded that the subsection applies only to misfeasance and not to non-feasance. The subsection appears to require that the workers whose negligence is alleged to have contributed to an injury be "involved in the circumstances in which the worker sustained the injury" and be "acting in the course of their employment." In my view, that language is broad enough to include negligence by failure to act as well as a negligent action. (I note and apply, in this regard, the reasoning in the following Tribunal decisions: *Decisions No. 532/93, 1683/01, 1672/03, and 740/04.*) I am not persuaded, therefore, that the Legislature intended that subsection 28(3) should apply only to acts of misfeasance and not to acts of non-feasance that potentially contributed to a worker's injury [*emphasis added*].

[31] I agree with that analysis from *Decision No. 2273/03*. Accordingly, whether Lima was guilty of misfeasance, or otherwise failed in its contractual obligations to the City, at the end of the analysis, even if the snow was not cleared at all in the area under Lima's responsibility, Lima's employees were acting within the course and scope of their respective employment.

(c) Was Lima a contractor for the City, or was it subsumed within the operations of the City of Toronto?

[32] This follows my earlier comments on this issue. I am not able to accept on the evidence and law that Lima is somehow subsumed within the City of Toronto, a Schedule 2 employer, so that Ms. Talaugon, an employee of a Schedule 1 employer, would thus be able to sue Lima (and the City). That Lima had to operate within its contractual obligations to the City does not make it, any more than any other party to a contract with the City, somehow subsumed within or deemed to be part of the City's operations. Lima, again, is an incorporated entity in its own right. It accordingly has legal status pursuant to the long established principles of corporate law.

[33] The evidence is that it carries on business, including business for the City. That Lima may not have carried on some of its contractual obligations in 2011 with the alacrity that one would prefer can not render it part of the operations of the City.

[34] The evidence submitted by counsel for the respondent, based upon the examination under oath of Mr. Lima, is that the City would, on a regular basis, come to inspect the equipment. In fact, in answer to question #231 from his February 21, 2017 Examination for Discovery, Mr. Lima testified that this inspection happened on a once weekly basis. Yet that inspection, and the other evidence obtained by Mr. Preyra, does not change the fact that Lima is an incorporated entity which thus has its own legal personality. Inspecting work does not equate to taking over the party who contractually is bound to perform the work.

[35] I find myself in agreement with Mr. Bierstone that, neither on the facts nor on the law, is the argument of counsel for the respondent tenable. Section 141 of the Act does not permit the somehow deeming of a Schedule 1 employer to be subsumed within a Schedule 2 employer.

Section 74 similarly is of no applicability in this strained argument raised by counsel for the respondent.

[36] In this case, Lima had a contract with the City, which, the evidence informs me, chose to rely upon contractors to meet some of its snow clearing obligations. That this is how the City chose to organize its affairs and to meet its obligations to its citizens is not anywhere precluded under the WSIA. Whether the contracted work was done properly or not is a matter for the City, and its ratepayers, to address. Yet that does not change the basic premise and basic facts. Ultimately, I must agree with the submissions of counsel for the applicant that, when boiled down to its essence, notwithstanding the creative arguments made by counsel for the respondent in a valiant attempt to save the civil action, this truly becomes a straight-forward case.

[37] There was alleged negligence on the part of Lima by either acts of omission or commission of its workers. Yet, as discussed above, there is no difference in that regard. Lima simply, accepting the allegations of the plaintiff, did not do what it was supposed to do, when it was supposed to do it.

[38] That negligence led to the unfortunate accident of Ms. Talaugon, a worker in the course of her employment, slipping and falling on February 8, 2011.

[39] This matter thus involves workers, employed by Schedule 1 employers, in the course of their respective employment. Section 28(1) removes accordingly the right to sue of a Schedule 1 worker employed by a Schedule 1 employer against “any Schedule 1 employer”. Ms. Talaugon accordingly may not sue Lima. Her right to sue is removed by the Act.

[40] The City is also entitled to the Order it sought, as set out below.

[41] My thanks to all counsel for their thorough submissions.

DISPOSITION

[42] The application is granted. The right of action of Ms. Talaugon against Lima's Gardens and Construction Inc., is taken away by the Act.

[43] Pursuant to sections 29(3) and (4) of the Act, the Court shall determine what portion of the loss or damage was caused by the fault or negligence of Lima's, whether or not Lima's is a party to the within civil action. No damages, contribution or indemnity for the portion of the loss or damage determined to be caused by the fault or negligence of Lima's are recoverable by Ms. Talaugon.

[44] The parties are directed to section 31(4) of the WSIA. If Ms. Talaugon seeks to claim WSIB benefits, such must be done within six months from the date of this decision.

DATED: July 25, 2018

SIGNED: J. Josefo